

Untying the Knot: Divorce Legalization and the Decline of Marriage

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Abstract

This study investigates the impact of divorce legalization on marriage decisions and intra-household specialization using Chile's 2004 reform as a case study. Opponents feared that introducing divorce would weaken the commitment value of marriage. Instead, we document a reversal of sharply declining trends in marriage rates, marital fertility, and the choice of the community property marriage regime in the 15 years following the law. These effects were most pronounced among highly educated women. We hypothesize that the introduction of legal divorce with equal marital asset division allowed husbands to insure homemakers against the economic risks of informal marital separation, thereby incentivizing specialization and fertility. In support of this mechanism, we show that the law caused a large reduction in the labor supply of young women married before the law under community property compared to those married under asset separation, who were not affected by equal asset division. Furthermore, we find that the concentration of these effects among the highly educated is driven by their higher levels of household assets, as predicted by simulations from a limited-commitment, collective model of marital investment.

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Divorce is probably of approximately the same date as marriage. I believe, however, that marriage is a few weeks older.

Voltaire

1 Introduction

Recent empirical work shows that women worldwide incur large lifetime earnings penalties because of childbearing and career interruptions (Kleven et al., 2025). Because sharing the cost of parenting equally between the sexes remains difficult, marital fertility often requires a credible long-term commitment: a husband’s ability and willingness to compensate his wife for the foregone labor market opportunities. However, the possibility of divorce is thought to undermine this mechanism and discourage marriage-specific investments, such as childbearing (Rasul, 2006). Indeed, evidence from unilateral-divorce reforms links easier access to divorce to declines in marital investment: lower fertility (Stevenson, 2008; Bellido and Marcén, 2014), reduced marital specialization and shifts in spouses’ labor supply (Johnson and Skinner, 1986; Parkman, 1992; Gray, 1998; Genadek et al., 2007; Stevenson, 2008), as well as lower educational investment and homeownership (Stevenson, 2008).

In this study, we examine the impact of divorce legislation on marital decisions in the context of a more radical change: the legalization of divorce, which was not permitted in Chile until 2004. Besides allowing for the dissolution of marriage, the new law provides for an equal division of assets and regulates alimony. In line with family economics theory, opponents of divorce legalization in Chile argued that it would reduce the appeal of marriage by weakening its commitment value (Cox, 2011). More broadly, this argument underlies policy discussions surrounding the liberalization of divorce along various dimensions (e.g., unilateral divorce, no-fault divorce, and mandatory separation periods). This study documents patterns indicating a large effect in the opposite direction, rationalizes these patterns in a limited-commitment model of marital investment, and empirically tests the proposed mechanism using a dynamic difference-in-differences strategy.

Drawing on multiple data sources, we first document marked trend breaks in marital decisions that coincide closely with the introduction of divorce. However, the direction of these breaks indicates an increased - rather than a diminished - appeal of marriage and marital specialization

resulting from the reform. Civil registry data on all marriages and births from 1990-2018 reveal that, after declining quickly in the decades prior to legalization, the annual number of marriages stabilized in the year immediately following and remained stable for at least 15 years.

Following family economics theory, which links the gains from marriage to higher marital investments and marital specialization, we then examine trends in fertility and female labor supply. Similar to marriage rates, the fertility rates of married women declined quickly in the 90s and the early 00s, and started increasing after divorce was introduced. In contrast, fertility rates for unmarried women remained stable. This fertility rebound is also concentrated among married college-educated women. Consistently, their labor supply decreased after the law relative to women with lower schooling. Finally, we document that the share of marriages contracted under community property, which declined from 85% in 1990 to 55% in 2004, stopped declining after the law took effect.

Based on these trends, we hypothesize that, in community property marriages, the equal division of assets upon divorce insures homemakers against the economic consequences of marital breakdown, making women more likely to have children and reduce their labor supply. Before the law, community property assets could only be divided under very restrictive circumstances and remained under the husband’s control otherwise.

The bulk of the empirical literature on divorce focuses on the conditions and access to divorce, studying whether more liberal access to divorce increases its likelihood and how the change in divorce risk, in turn, impacts marital decisions. We follow a smaller literature that is concerned with how family law divides marital property between ex-spouses. For example, the role of marital assets as an insurance mechanism has been studied within models of limited commitment and imperfect intra-household risk sharing in the context of the United States by [Voena \(2015\)](#) and by [Lafortune and Low \(2023\)](#). We adapt [Lafortune and Low \(2023\)](#)’s two-period model to the Chilean context to understand the effect of divorce legalization on marital decisions. In the model, equal asset division allows the husband to commit ex ante to compensating the wife after a divorce, which leads to increased specialization and higher gains from marriage.

To causally test this mechanism, we estimate the law’s impact on marital specialization, proxied by married women’s employment rates, using young women married before the law under community property as a treatment group, relative to a control group of women married under asset

separation. While both groups are exposed to the change in the availability of marital dissolution, which opens up remarriage opportunities, the division of assets upon divorce only affects women under the community of assets, making this comparison ideal for isolating the mechanism we are testing. We measure strong reductions in labor supply in the treatment group starting in the year of the reform, but only among college-educated women, consistent with the macro trends described earlier.

The model implies that the law should not impact women with a higher earning potential more strongly *ceteris paribus*. However, it also predicts a higher impact for households with higher asset levels, which are empirically correlated with income. This suggests that educational heterogeneity in macro patterns and reform impacts operate through differences in accumulated household assets, which are empirically correlated with female education. Accordingly, the treatment heterogeneity analysis reveals that the reform’s impact is concentrated on households that had accumulated assets at the time of the law, as predicted by the model.

Overall, our results indicate that the legalization of divorce had a positive impact on marriage and fertility rates. In addition to the mechanism we studied, several aspects of the law, such as alimony provision or the ability to remarry, may have contributed to these patterns. Because both our treatment and control groups were exposed to these factors, our empirical strategy is effective in isolating the role of marital property division, and we measure large labor supply impacts. For the same reason, however, our exercise is silent on the quantitative contribution of these other factors to the macro trend breaks. However, the fact that marriage rebounds are concentrated in community property marriages suggests that marital asset division is a quantitatively important piece of the story.

This study contributes most directly to the small literature on divorce legalization by documenting a set of counterintuitive patterns and identifying a mechanism that was absent from existing work. The literature studying this fundamental policy change is limited because most countries legalized divorce long before micro household surveys were collected. In addition, divorce legalization is usually a country-wide change, which limits exploitable regional variation. Two studies specifically considered the short-term effects of Chile’s 2004 Civil Marriage Act. Gallegos and Ondrich (2017) estimate a hazard model that identifies a relative increase in fertility in the five years following the law. We extend these results using multiple data sources spanning 30 years

around the law, consider other connected marital decisions, formalize a theoretical mechanism, and implement a causal inference strategy to pin down the mechanism. [Heggeness \(2020\)](#) finds an increase in the school enrollment rates of children in married couples relative to cohabiting couples two years following the reform. This impact is consistent with the improved outside options of married homemakers that are at the center of our study. Considering the case of Ireland’s 1996 legalization, [Bargain et al. \(2012\)](#) find positive effects on labor force participation, and [González and Özcan \(2013\)](#) find positive effects on household savings. In both cases, divorce legalization is interpreted as a negative shock to marital stability, leading women to preventively invest in their outside options. We examine a different dimension of the law, namely the impact on the division of assets upon separation, which allows us to explain the positive impacts on marriage rates and marital investment. The two mechanisms are compatible and in fact we find some indications that the marital instability channel might also be at play for women with low schooling and low levels of assets.¹

Our study also relates to a small set of papers that have shown that asset accumulation helps alleviate the limited commitment problem in marriage when unilateral divorce is allowed. This literature is founded on the broader limited-commitment intra-household bargaining literature ([Ligon et al. \(2000\)](#), [Mazzocco \(2007\)](#)). [Voena \(2015\)](#) shows that the introduction of unilateral divorce in combination with equal division of property in the U.S. since the 1970s depressed female labor force participation.² [Lafortune and Low \(2023\)](#) show that household asset levels are strong conditional predictors of marriage as opposed to cohabitation, and that easier access to housing wealth (proxied by housing prices at marriage), cause higher marital specialization. Our results confirm the importance of marital property regimes in shaping marital investment decisions, despite being rarely examined empirically or theoretically. One exception is [Bayot and Voena \(2015\)](#) who document that the choice of the community property regime in Italy is correlated with higher marital investments in the form of higher fertility and lower labor force participation. We contribute new evidence in support of this mechanism by exploiting a novel policy variation and empirical strategy

¹Using cross-country variation in the timing of legalization across southern Europe (1970-1990), [González and Viitanen \(2018\)](#) find negative impacts on children’s future outcomes.

²[Fernández and Wong \(2014\)](#) highlight an alternative link between divorce risk, household saving, asset division and female labor supply. In their life-cycle model, higher divorce risk increases female labor force participation not to increase their earning potential but to increase household savings, anticipating the share they will receive through the division of assets.

and connecting it to large changes in marital outcomes at the population level.

The remainder of this paper is organized as follows: Section 2 discusses the implementation of divorce legalization in Chile. Section 3 describes the data sources used in this study. Section 4 analyzes trends in marital decisions and investments between 1990 and 2020 using civil registry data. Section 5 presents the hypothesized mechanism in a framework adapted from Lafortune and Low (2023) to the context of Chile. Section 6 estimates a dynamic difference-in-differences model to determine the causal mechanism. Section 7

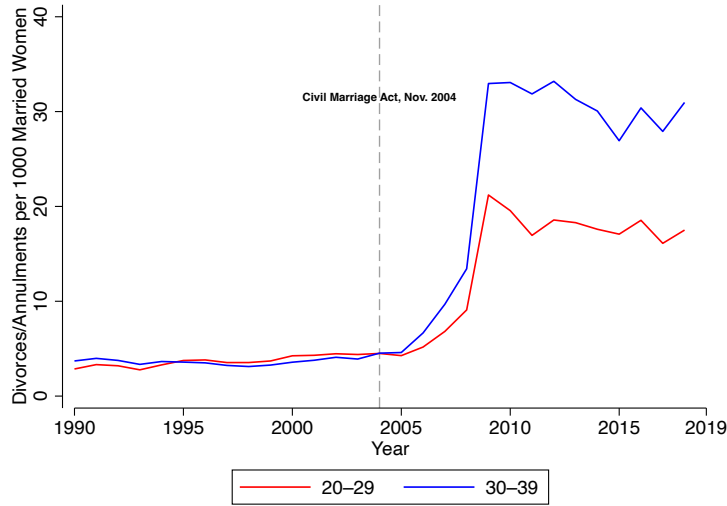
2 Background: Divorce Legalization in Chile

2.1 “Divorce” in Chile before 2004

Prior to 2004, Chile’s marriage regime was governed by the Civil Marriage Act of 1884, which defined “divorce” in the following way: “*El divorcio no disuelve el matrimonio, sino que suspende la vida común de los cónyuges*” (Divorce does not dissolve marriage but rather discontinues the spouses’ life together). This procedure was known as “divorcio no vincular” (in contrast to “divorcio vincular” introduced in 2004) and was akin to a legal separation: the marital bond remained intact, and remarriage was not permitted. Under “divorcio no vincular,” marital obligations, including spousal support, subsisted. Such support was determined by the courts based on the needs of the recipient and the financial capacity of the obligated spouse, often considering fault in the separation. Regardless of the spouses’ relationship, the law also recognizes child support obligations (Turner, 2004).

The only legal ways to dissolve a marriage were death or annulment. One of the most common grounds for annulment was the lack of legal formalities, such as errors in the identity of one spouse. Annulment required mutual consent if the marriage was not void from the outset, the sworn testimony of three witnesses to support the invalidating claim, and the involvement of a lawyer in the annulment process. It was prohibitively expensive and therefore concentrated in wealthier areas; anecdotal evidence suggests it could cost the equivalent of five months of minimum wage (Cox, 2011). Figure 1 shows the total rate of marital dissolution (comprising annulments and divorces after 2004) in Chile over time. The vertical dashed line in 2004 marks the enactment of the divorce law. It shows that annulment rates prior to the law were five or six times lower than the rate at which divorces eventually stabilized after the law.

Figure 1: Divorce and Annulments by Age of the Wife



Notes: The figure shows the marital dissolution rates by age of the wife. The marital dissolution rate is defined as the number of divorces (after November 2004) and annulments divided by the number of married women in the corresponding age group. The sample was restricted to those ages 20-39. Data on divorces and annulments were obtained from the Civil Registry. The number of married females is estimated from the CASEN in the survey years and has been interpolated for the years where no survey was conducted.

Besides not terminating the marriage, divorce was strongly restricted in terms of its access and effects, and remained extremely rare. Under the most serious faults, such as adultery, serious abuse, abandonment, or crimes against the spouse or children, a permanent separation could be pronounced, and the marriage's community property would be liquidated and assets divided between the spouses. Other faults, including abandonment, alcoholism, gambling, or unjustified absences of more than three years, could only be grounds for a temporary legal separation (up to five years), in which case the community property was not liquidated and assets were not divided. A spouse could also demand a judicial separation of property ("separación judicial de bienes") on fault grounds, including absence of more than a year and persistent nonpayment of alimony. In 2002, 20,895 annulments were filed, compared to 196 permanent divorces, 17 temporary divorces, and 298 judicial separations of property, with similar numbers in 2003.

2.2 The 2004 Civil Marriage Act

Law No. 19.947, known as the New Civil Marriage Act and informally referred to as the Divorce Law due to its most significant reform, was enacted in 2004 and introduced legal divorce in Chile, allowing married couples to dissolve their legal bond and remarry. It permits the termination of a marital bond on three grounds: mutual agreement due to separation, unilateral petition due to separation, and fault-based divorce. Although divorce is not immediate under any of these options, the process usually concludes within a reasonable timeframe. In the first option, the couple must have been separated for at least one year, and the legal process typically lasts between 10 days and four months. In the second, the required separation period is three years, with proceedings usually taking four months to one year. In the case of fault-based divorce, there is no required separation period, but the judicial process tends to be longer and more complex.³ To ease the procedural burdens and legal complexities of divorce, the public entity *Corporación de Asistencia Judicial* (Legal Aid Corporation) offers free legal guidance and, if needed, legal representation for those unable to afford a lawyer.

Another key change introduced by the law is economic compensation (alimony), a legal entitlement for a spouse who, due to childcare or household responsibilities, was unable to engage in paid work or did so to a lesser extent than they could and desired, resulting in economic disadvantage at the time of divorce or annulment. However, the law makes no distinction in terms of economic compensation between the two marital regimes. As Corral (2007) observes, compensation is based solely on the economic detriment suffered upon divorce, regardless of the divorce regime.

2.3 Timing of legal divorce adoption

Chile's move from divorcio no vincular to legal dissolution of marriage (divorcio vincular) unfolded over nearly a decade, but the information environment relevant to the impacts we are investigating shifted sharply in 2003–2004. The divorce bill was first introduced in the Chamber of Deputies in November 1995, and although it advanced intermittently, years of legislative drift likely kept the perceived probability of near-term reform low for most households.⁴

The Senate finally approved the bill in principle on 13 August 2003, a highly reported milestone that opened a formal window for amendments and signaled that passage was no longer merely

³According to Serrano & Cía., a local family law firm.

⁴Senado de Chile, “Leyes con historia: El nuevo matrimonio civil”.

symbolic.⁵ March 2004 then marks a key breakpoint in perceived uncertainty: the 11th of March 2004 the Chamber of Deputies voted through the Senate’s amendments in the final constitutional stage, an event widely framed in domestic and international media as “Chile approves divorce,” thereby collapsing much of the remaining uncertainty about whether legal divorce would be adopted at all.⁶ After this March 2004 breakthrough, the relevant uncertainty shifted from adoption to implementation: the bill still faced constitutional review and executive promulgation, but these steps were less about political feasibility and more about legal finalization. Ley 19.947 was published on 17 May 2004 and entered into force six months later (18 November 2004), at which point divorce became legally available.⁷ Figure 2 corroborates using Google search trends that public interest in divorce peaked in March and November of 2004. Figure 1 shows that the divorce rate took a few years to peak and stabilize because family law courts had to be created from scratch (Heggeness (2020)) and because of the separation periods required by law. In our empirical analysis, we use either 2004, fourth quarter of 2004, or November 2004 as the time of treatment, depending on the frequency of the series.

2.4 Marital Property Regimes and Divorce

Since 1994, Chile has had three marital property regimes: community property (established in 1857), separation of property (1925), and participation in acquired assets (1994). The first two regimes are the most common. The default and historically dominant regime is the community property regime (Sociedad Conyugal). By law, the husband is the head of the community property regime, and as such, he administers the community assets as well as his wife’s assets. For example, he exercises his wife’s rights as a shareholder in a company. The law does limit unilateral transactions on specific assets: the husband needs the wife’s explicit authorization to sell real estate or assets inherited by the wife (Código Civil, Artículo 1749). In the SP regime, each spouse’s property and its administration remain separate, including assets acquired before and during the marriage. Given that the third regime has accounted for less than 3.5% of marriages since its introduction, our analysis focuses on the community property (CP) and separation of property (SP) regimes.⁸

An important qualification within the CP regime is the wife’s reserved property (*patrimonio*

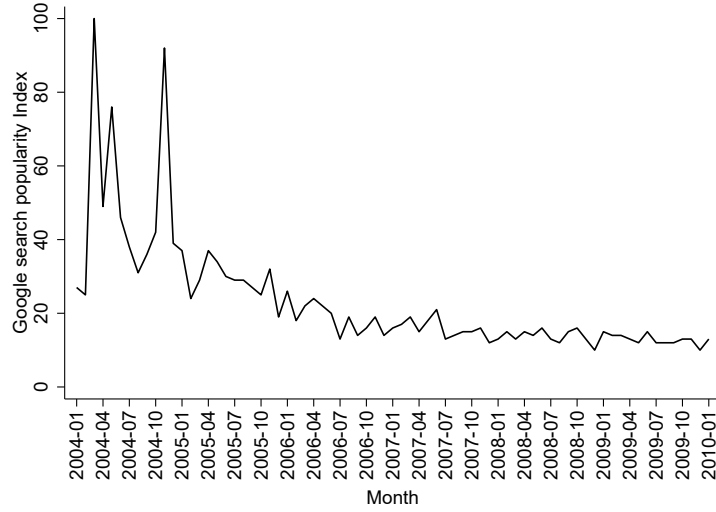
⁵Emol (2003): “Senado aprueba idea de legislar divorcio”.

⁶The Guardian (2004): “Chile defies church and legalises divorce”.

⁷See Biblioteca del Congreso Nacional (BCN), Ley 19.947.

⁸Data from the Biblioteca del Congreso Nacional de Chile (BCN).

Figure 2: Google Trends Popularity Index for “divorcio”, 2004-2009



Notes: The figure shows the monthly popularity index computed by Google Trends for the search term “divorcio” between January 2004 and December 2009. The three largest peaks correspond to March, May and November 2004. Trends remained stable after 2009 (not shown to improve figure legibility). Google started computing search trends only from 2004 onwards.

reservado), which comprises assets derived from her own work that, although belonging to the marital community estate, are independently administered by the wife. In practice, this institution faces two main difficulties. On the one hand, registration authorities may raise objections to the inscription of assets in the wife’s name, requiring proof of the existence of reserved property beyond what the law demands, thereby restricting the effective exercise of her independent administration of property. However, special acquisition regimes, such as housing subsidies, create uncertainty regarding the patrimonial classification of these assets, as courts have tended to protect the wife’s autonomy without clearly defining whether such assets remain part of the community estate or constitute a distinct proprietary category (Gatica and Salah, 2024).

Despite the CP regime’s structurally gendered nature, the 2004 Civil Marriage Law did not alter asset administration during marriage, including wives’ reserved property. However, divorces now trigger the liquidation and equal division of community property between spouses. Under SP, divorce does not affect asset administration and ownership; each spouse retains ownership of the assets registered in their name.

3 Data Description

3.1 Social Protection Survey and Administrative Records

For our main estimations using a difference-in-differences specification, we rely on longitudinal data from the *Encuesta de Protección Social* (EPS, Social Protection Survey) and administrative records from the *Superintendencia de Pensiones*, the Chilean pension supervisory authority.

The EPS is a longitudinal panel survey conducted in 2004, 2006, 2009, and 2015 that follows the same individuals over time. The initial 2004 wave comprised a random sample of pension system affiliates supplemented with non-affiliates to achieve national representativeness (approximately 16,500 individuals), who were subsequently followed in later waves. The EPS collects retrospective employment histories (back to 1980), detailed partnership histories, individual characteristics, and spouse characteristics.

From the EPS, we used individual-level information on gender, year of birth and age, educational attainment (measured as the maximum level attained over the observation period), annual civil status (single, married, separated, cohabiting, divorced, and widowed), marital property regime in 2000, total assets, partner’s education, number of children, and church attendance.

Using the EPS data, we constructed partnership histories by identifying continuous spells of partnership status at the individual-year level using information on age, cohabitation, civil status, and partner transitions reported in each survey wave. The start of each spell is determined using the reported age at the beginning of the relationship when available; otherwise, it is inferred through extrapolations from the previous wave or set at age 18 for individuals who never reported any relationships. The end of each spell is assigned using the reported year of relationship termination or, when unavailable, the survey year. Each spell is classified as married, cohabiting, separated and living alone, separated and living with a partner, single, or missing.

We complemented the survey data with monthly administrative records from the *Superintendencia de Pensiones*, which provide information on formal employment status and taxable labor earnings. Merging these records with the EPS at the individual level yields an individual-level monthly panel. Administrative data were also used to cross-validate the gender and year of birth reported in the survey.

Table 1 summarizes the sample restrictions used to construct the estimation samples used in this

study. We began with all women interviewed in the 2015 EPS wave. We then restricted the sample to women who were legally married and cohabiting in 2000. Next, we impose an age restriction and keep those aged 20–39 in 2000. These sequential restrictions yielded a core sample of 1,164 women. We then defined two estimation samples by applying the age cutoffs 20–29 and 30–39 in 2000, resulting in 389 and 775 women, respectively. For the selected individuals, we observe their marital property regime and monthly labor market outcomes from January 2000 to December 2015. The summary statistics for the variables used in the analysis are reported in Table 4.

Table 1: Sample Restrictions, Dynamic Difference-in-Differences Model

Sample restriction	N
Women in the 2015 EPS round	7,547
Married in 2000	2,416
Age 20-39 in 2000	1,164
Final estimation samples	
Age 20-29 in 2000	389
Age 30-39 in 2000	775

Notes: The number of observations in each row reflects the remaining sample after sequentially applying the corresponding restriction, except for the last two rows, which are computed by applying each age restriction separately to the sample remaining after all restrictions up to the women-only restriction.

3.2 Civil Registry

We also explored a second data source obtained from the National Institute of Statistics and Civil Registry. The data cover the 14 years before and after divorce legalization, that is, the period from 1990 to 2018, and contain records on the universe of marriages, divorces, and annulments, as well as births. Each marriage and birth record contains information on age, schooling level, and municipality. In addition, marriage data records the asset regime. The divorce/annulment data contain information on the age of the divorcees. Table 2 presents the summary statistics for these data.

To compute birth rates, we used counts drawn from the Vital Statistics for the numerator. For the denominator, we use waves 1990 through 2017 from the household survey *Encuesta de Caracterización Socioeconómica Nacional* (CASEN).⁹ We restrict the CASEN sample to women aged 16-44 and construct an estimate of the female population by marital status and schooling level.

⁹We use waves 1990, 1992, 1994, 1996, 1998, 2000, 2003, 2006, 2009, 2011, 2013, 2015 and 2017.

To do so, we weighted each observation in the CASEN using frequency weights at the regional level. For the missing years between the waves, we interpolate the estimates.

Table 2: Summary Statistics for Civil Registry Records

Divorces	N	Mean	Min	Median	Max
Wife's Age	606,964	43.90	24	43	73
Husband's Age	606,964	46.39	26	46	74
Asset Regime: Community Property	606,964	0.78	0	1	1
Asset Regime: Separation of Property	606,964	0.21	0	0	1
Annulment of Marriage	606,964	0.17	0	0	1
Marriages					
Wife's Age	1,950,131	27.70	16	26	64
Husband's Age	1,950,131	30.20	18	28	68
Wife > 12 Years of Schooling	1,939,796	0.31	0	0	1
Husband > 12 Years of Schooling	1,929,635	0.32	0	0	1
Wife is Employed	1,950,131	0.51	0	1	1
Husband is Employed	1,950,131	0.96	0	1	1
Wife Previously Married	1,950,131	0.05	0	0	1
Husband Previously Married	1,950,131	0.06	0	0	1
Births					
Mother's Age	6,803,664	27.06	15	27	42
Father's Age	6,803,664	29.87	17	29	51
Mother > 12 Years of Schooling	6,787,703	0.22	0	0	1
Father > 12 Years of Schooling	6,276,510	0.26	0	0	1
Mother is Employed	6,803,664	0.15	0	0	1
Father is Employed	6,803,664	0.55	0	1	1
Mother is Married	6,803,664	0.47	0	0	1
Child is Female	6,803,664	0.49	0	0	1

Notes: The table shows the number of observations, the mean, minimum, median and maximum for the main variables in the three Civil Registry datasets containing records of all divorces (and annulments), marriages and births in Chile between 1990-2018. All variables, except for age, are binary.

4 Descriptive Evidence: Trends in Marital Decisions around Divorce Legalization

Opponents of the 2004 Civil Marriage Act argued that introducing the possibility of dissolving marriage would turn marriage into a disposable relationship, whose continuation is left to the spouses' goodwill. Once marriage became temporary, with an uncertain duration, the degree of commitment and dedication decreased. They further warned that a legal environment that doesn't

strongly protect marital permanence makes couples less likely to marry.¹⁰

These arguments echo the family economics literature, in which efficient marital specialization—in which one spouse reduces their market labor supply to specialize in producing household public goods - may not be sustainable due to a limited commitment problem if the other spouse cannot credibly compensate the homemaker in the future. Marriage is viewed as an intertemporal commitment institution that is costly to dissolve, alleviating the limited commitment problem. Conversely, facilitating exit from the contract weakens the commitment, reduces marital specialization and therefore the gains from marriage.

In this section, we examine whether the descriptive trends in marital decisions are consistent with the predictions of a weaker appeal of marriage. We identify clear breaks in marital decisions that coincide with the legalization of divorce. We show that the timing and size of these trend breaks suggest a large impact of the reform on the perceived value of marriage contracts and the propensity for marital specialization. However, the direction of these trend breaks indicates that marriage and marital specialization became more appealing rather than less appealing. We outline our proposed mechanism in Section 5 and test it in Section 6.

4.1 Trends in Marriage Decisions

We first examine population-level data obtained from Chile’s civil registry on all marriages celebrated in Chile between 1990 and 2018. The raw number of marriages in Chile exhibited a steady decline prior to 2004, as depicted in Figure 3a. This decline dates back to the late 1980s (Cox A. (2011)) and is consistent with the “retreat from marriage” observed in OECD countries and in Latin America since the 1970s, characterized by lower marriage rates and a substitution towards long-term cohabitation (Lundberg and Pollak, 2015; Wiegand-Cruz, 2025). Explaining this global trend is beyond the scope of this paper but we discuss in the conclusion the implications of our results for this broader debate.¹¹ After 2004, when divorce was introduced, the decline in mar-

¹⁰e.g., Cardenal Errázuriz (2003): Pastoral letter “Un siglo XXI ¿sin matrimonio para toda la vida?”.

¹¹Multiple mechanisms have been invoked to explain the decline in marriage rates, including changes in social norms around gender roles and marriage in connection to improved fertility control and higher female labor market participation (Cherlin, 1992; Akerlof et al., 1996; Goldin and Katz, 2002), changes in sex ratios (Angrist, 2002; Knowles and Vandenbroucke, 2019; Bronson and Mazzocco, 2024), a lack of “marriageable men” due to worsening economic opportunities, higher incarceration rates, or demographic shifts (Wilson, 2022; Ellwood and Crane, 1990; Charles and Luoh, 2010), and changes to the nature of the gains from marriage due to home production technological change (Greenwood et al., 2016; Lundberg and Pollak, 2015). Other papers point more specifically to the substitution between marriage and non-marital cohabitation due to the lower social cost of divorce or an increase in legal protections in cohabiting unions (Matouschek and Rasul, 2008).

riages halted, and the annual number of marriages began to increase slowly over the next 15 years. Here, we only consider data for first-order marriages (in which neither spouse was married before). Therefore, the rebound in the flow of marriages does not correspond to a higher “churn” of marital relationships but rather an increased number of individuals choosing marriage over singlehood or cohabitation.

Figure 3a shows that the decline and subsequent rebound in the number of marriages can be attributed more specifically to community property (CP) than to separate property (SP) marriages.¹² The number of SP marriages grew steadily throughout the period, with perhaps a slight acceleration in 2004. Overall, while over 80% of new marriages were signed under CP in 1990, around half of newly married couples opted for this regime by 2004. This proportion remained stable thereafter. The choice of marital regime has received little attention in the literature, but a growing choice of separation property regimes has been documented in Italy and France (Frémeaux and Leturcq, 2013, 2018; Bayot and Voena, 2015), and is linked to reductions in the gender wage gap and growing female labor force participation. The patterns around Chile’s 2004 Civil Marriage Act suggest that the law significantly improved the appeal of the CP marriage regime but had a much smaller effect on the SP marriage regime. Therefore, we hypothesize in Section 5 that the counterintuitive impacts of the law are related to dispositions around the liquidation of the community property following a CP marriage dissolution.

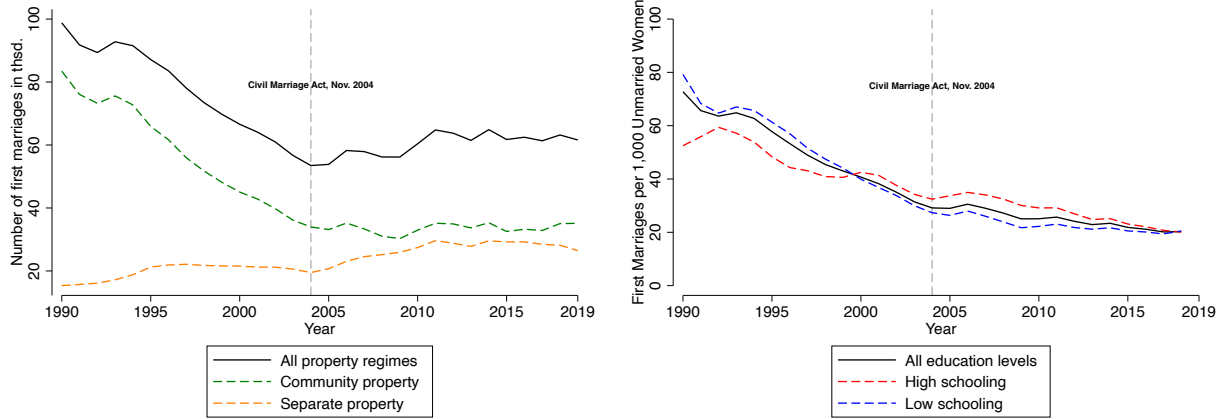
4.2 Trends in Marital Specialization

The ability of spouses to specialize in home production versus market work constitutes one of the main sources of marital surplus identified in the family economics literature[?]. Other sources, such as companionship or economies of scale in consumption, can also be achieved through cohabitation and could not have easily been positively altered by the introduction of divorce. As home production technologies have reduced the time required to produce marital commodities (such as meals, clean dwellings, and clothes), the value of marriage increasingly resides in the ability to invest in children’s education (Greenwood et al., 2016; Lundberg and Pollak, 2015). Therefore, an increase in marriage rates should be associated with higher marital specialization and fertility.

Consistent with this argument, the pre-2004 fertility trends mirrored the declining marriage

¹²In the data, we observe a third asset regime of joint profit (“Participación en los gananciales”) starting 1995 - a hybrid between community assets and separation of assets. This asset regime is quantitatively negligible, and the fraction of marriages under this regime does not change meaningfully over time.

Figure 3: Marriages in Chile 1990-2019, by Property Regime and Education



(a) Raw Number of Marriages by Property Regime

(b) Marriage Rate by Education Level

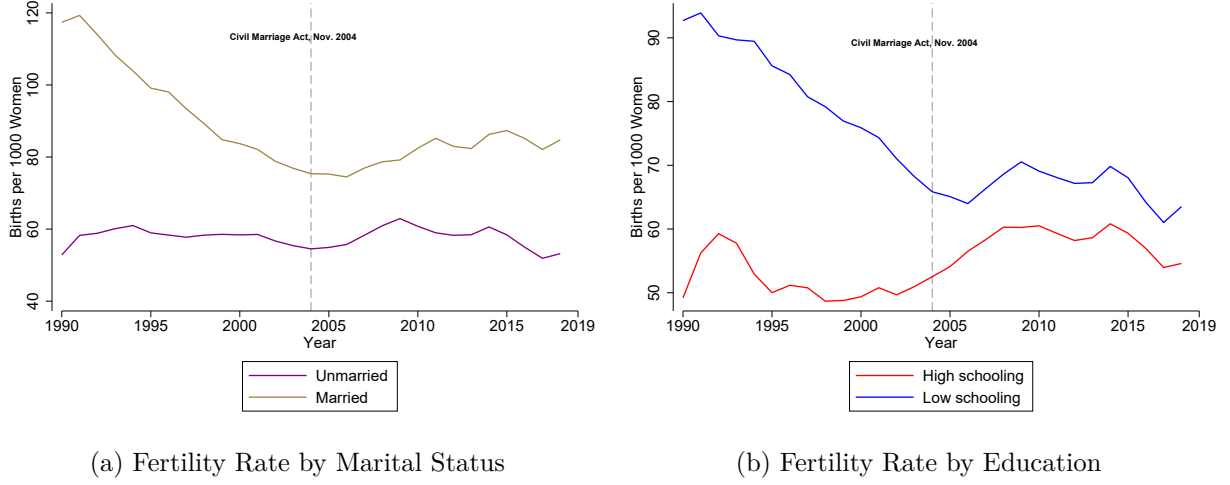
Notes: The left-hand panel figure shows the raw count of marriages by property regime. The data source is the Civil Registry. The right-hand panel shows the marriage rate excluding remarriages per 1,000 unmarried women. The marriage rate is defined as the number of new marriages divided by the number of unmarried women. The data source is the Civil Registry. The number of unmarried women was estimated from the CASEN in the survey years. For the intermittent years when no survey was conducted, we used interpolation methods. The sample is restricted to wives aged 20-39.

trends. Figure 4a depicts the birth rates of married and unmarried mothers. Prior to 2004, birth rates markedly declined for married mothers and remained stable for unmarried mothers. After 2005, the declining trend in marital fertility stopped, and we observe a rebound in birth rates. These results imply that fertility did not rebound mechanically as a result of higher marriage rates (composition effect). Instead, fertility increased upon marriage.

In Figure 4b, we plot birth rates over time for women with at most a high school diploma versus women with at least some college education. For both groups, the introduction of divorce coincides with an increase in fertility, but the pre-reform fertility decline is concentrated among women with low schooling, whereas the rebound is more marked for women with more schooling.

Finally, we examine whether women's labor supply in Figure 5. Since labor supply and fertility are two correlated manifestation of marital specialization, we should expect consistent patterns between the two series. The left panels show the raw series for women's employment rates and hours worked (conditional on employment), by schooling. Trend breaks around 2004 are not as manifest as was the case for fertility rates, perhaps because labor supply is determined by other factors (e.g. macroeconomic conditions, structural transformation, technological changes, social

Figure 4: Fertility by Mother's Marital Status and Education



Notes: The left-hand panel figure shows the fertility rate by the mother's marital status. The right-hand panel shows the fertility rate by the mother's education level. The fertility rate is defined as the number of new births divided by the number of women. The data source is the Civil Registry. The number of women was estimated from CASEN in the survey years. For the intermittent years when no survey was conducted we use interpolation methods. The sample is restricted to women aged between 16-44.

norms, or labor regulation) besides fertility decisions. However, when we considering the labor supply patterns of college educated women (which exhibited the stronger fertility rebound) relative to women with less schooling, we find indications of similar breaks. To show this we estimate the impact of high vs. low schooling on labor supply on repeated cross-sections of working-age women in the CASEN data:

$$Y_{iet} = \alpha + \sum_k \beta_k \mathbf{1}\{t = k\} \times \mathbf{1}\{e = \text{High}\} + \gamma_t + \phi_e + \varepsilon_{iet}, \quad (1)$$

where Y_{iet} denotes a dummy for being employed (resp. hours worked) for woman i in schooling group $e \in \{\text{Low}, \text{High}\}$ in year t . The term γ_t is a full set of year fixed effects and ϕ_e is an indicator for high schooling ("High" denotes ≥ 12 years of education; "Low" denotes < 12 years).¹³ The coefficients β_k trace the year-by-year difference in the mean hours between women with high versus low schooling relative to the omitted base year (1990). Thus, upward (downward) movements in β_k indicate increases (decreases) in the relative labor supply of highly educated women. Standard

¹³We harmonize schooling bins across survey waves. Results are robust to alternative cutoffs (e.g., completed secondary vs. some tertiary).

errors are computed using heteroskedasticity-robust estimators.

Figures 5b and 5d plot the estimated β_k from (1) (base $k = 1990$), which capture how the relative difference between the two groups evolved. The relative employment rates of college-educated women remained relatively stable in the pre-reform period and declined steadily in the post-reform period. The relative hours of college-educated women increased steadily before the reform, but stopped doing so after 2004. Both series are consistent with a negative break the relative labor supply college educated women at the time of the reform, which tracks the stronger fertility rebound among that group. Taken together, these labor supply dynamics are consistent with greater within-household specialization after the reform affecting college educated women more.

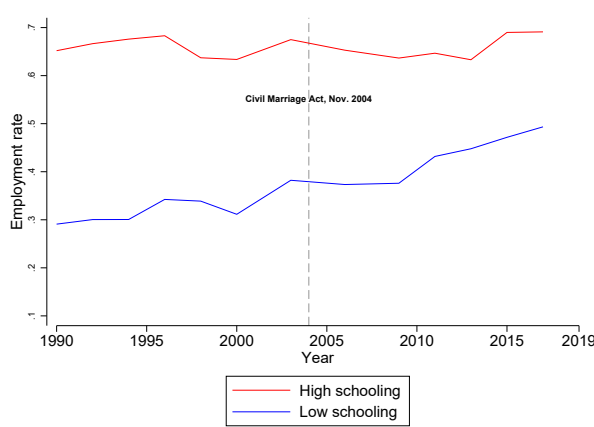
5 A Model of Divorce as Insurance for Marital Investment

The sharp trend breaks documented in the previous section indicate the existence of a link between divorce law policies, the value of marriage, and marital investments. The mechanism invoked in the divorce literature is that divorce liberalization increases the risk of separation and discourages marital investment. These predictions run contrary to the patterns we identify, which implies that another mechanism must be at work, possibly offsetting the former prediction. In addition, the differential trends observed between the two marital regimes suggest that assets and asset division upon divorce play a role.

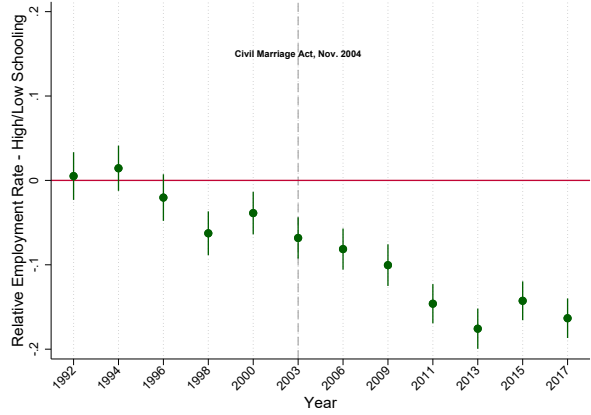
To illustrate how the value of marriage and marital investment could increase with divorce legalization, we adapt the two-period model of marital specialization and saving with limited commitment from Lafortune and Low (2023) to the Chilean context. Their study models couples who decide on consumption allocations and marital investments in an environment where match (*love*) shocks can affect the value of marriage, and there is limited commitment to enforce consumption promises made inside the marriage. The original model assumes that housing wealth is divided more equally upon divorce than other marital assets. Couples can use this saving vehicle to transfer consumption to the homemaker in case of a divorce, alleviating the limited commitment problem.

In our setup, it is the divorce law that introduces the equal division of assets by triggering the liquidation of community property. Section 2 discusses the fact that in Chile, the community

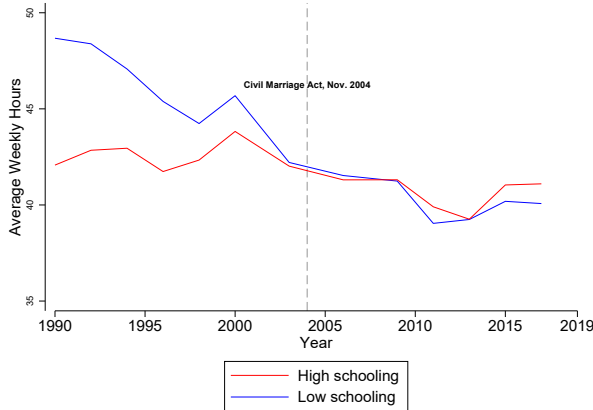
Figure 5: Female Labor Supply by Education



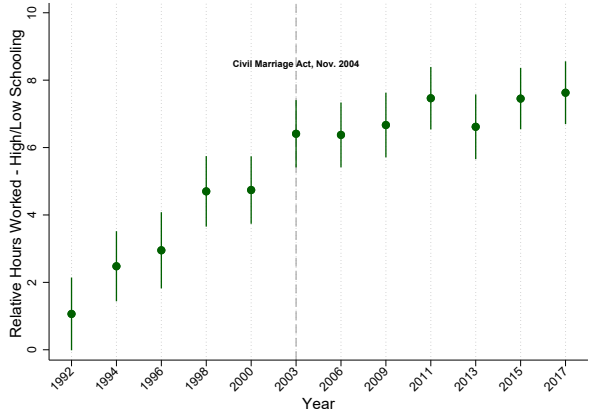
(a) Female Employment Rate by Education



(b) Effect of Schooling on Employment rates (base = 1990)



(c) Women's Average Weekly Hours Worked by Education



(d) Effect of Schooling on Weekly Hours Worked (base = 1990)

Notes: Panel (a) shows the raw female employment rate for women with high (≥ 12 years) and low (< 12 years) schooling. Panel (b) reports the interaction coefficients from equation (1) for employment, measuring the differential change for highly educated women relative to less educated women, with 1990 as the omitted year. Panel (c) shows the raw average weekly hours worked by education group, and panel (d) reports the corresponding coefficients for hours. The sample is restricted to women aged 25–44. The data source is the CASEN. .

property regime gave husbands control over marital assets during marriage, and how it was very difficult, and extremely rare in practice, for women to obtain a division of marital assets if they separated from their husbands.

Note that other provisions of the law, such as better alimony enforcement or the ability to remarry, may also have reduced the economic risk of marital breakdown. In this study, we focus on showing that asset division specifically played an important role, without excluding these other mechanisms.

We simulate different variations of the model to understand the conditions under which investments inside marriage increase after the introduction of a policy that increases resource sharing towards the lower-earning spouse in the event of a divorce, akin to the Chilean reform. We do not estimate the model but calibrate and simulate it to show that it can rationalize our empirical findings. Here, we present the main ingredients of the model, while in Section A.2 we present further details.

Setup. The model features couples with members $k \in \{i, j\}$ who live two periods $t \in \{1, 2\}$ (as above, we set i as the male). The couple jointly produces public good $Q(\tau_i, \tau_j)$, where τ_k represents the time invested by agent k in Period 1. The public good production function satisfies standard regularity conditions, being symmetric and concave in each input τ_k , with the marginal product approaching infinity as τ_k approaches zero.

Partners have heterogeneous earnings, with Ω_k representing respective potential earnings for partner k . In the first period, each partner earns income Ω_k , while in the second period, their income becomes $\lambda\Omega_k(1 - \tau_k)$, reflecting the opportunity cost of time invested in public good production and growth in earnings ($\lambda > 1$). The couple begins with initial assets $A = A_i + A_j$. The couple can save (s) in period 1 at an interest rate r . Both partners share a common concave utility function over consumption $u(c_{tk})$.

Match Quality and Relationship Outcomes. There is relationship quality uncertainty through a common, mean-zero match quality shock $\phi \sim L$ that occurs in Period 2. This shock determines the couple's relationship outcome according to three possible scenarios under the assumption of limited commitment via imperfect contracting (agents cannot commit to the division of income or assets in the second period):

1. When the match quality shock is sufficiently high, the couple remains married and shares their resources equally, with $c_{2i}^m + c_{2j}^m = \lambda\Omega_i(1 - \tau_i) + \lambda\Omega_j(1 - \tau_j) + (1 + r)s$.
2. For intermediate values of the match quality shock, the couple renegotiates their arrangement, with the lower-earning partner compensating the higher earning partner. Total resources remain the same such that $c_{2i}^r(\phi) + c_{2j}^r(\phi) = \lambda\Omega_i(1 - \tau_i) + \lambda\Omega_j(1 - \tau_j) + (1 + r)s$, but consumption levels are determined endogenously to maintain the higher earner spouse indifferent between divorce and marriage with a new consumption level.¹⁴
3. When the match quality shock is sufficiently low, the couple divorces and splits the resources under imperfect commitment. The divorce allocations are given by

$$c_{2i}^d = \beta\lambda\Omega_i(1 - \tau_i) + (1 - \beta)\lambda\Omega_j(1 - \tau_j) + \delta(1 + r)s \quad (2)$$

$$c_{2j}^d = (1 - \beta)\lambda\Omega_i(1 - \tau_i) + \beta\lambda\Omega_j(1 - \tau_j) + (1 - \delta)(1 + r)s, \quad (3)$$

Note that males (spouse i) retain fraction β of their income, giving $1 - \beta$ to their ex-partners while couple's savings are shared according to parameter δ , with higher values of the latter reflecting unfairer situations for women.

In the equilibrium of the model, marital investments (τ) and savings (s), along with the decision to remain married or to divorce, are determined by maximizing the joint value of both male and female utilities. We consider δ as the main policy parameter: it represents the amount from common savings that the husband obtains in case of a divorce.¹⁵

Simulation results. Before 2004, there were no formal divorce laws in Chile. In such contexts, separation disproportionately favored husbands given their control of joint assets under *sociedad conyugal* arrangements, where $\delta \approx 1$. The 2004 divorce reform introduced rules regarding alimony and asset division. Post-reform, courts aimed to enforce $\delta \approx 0.5$, raising expected consumption for wives in divorce.¹⁶

Below we present simulation results from the model, considering two cases: a *pre-divorce law* scenario with $\delta = 0.9$ (low redistribution) and a *post-divorce law* scenario with $\delta = 0.5$ (fairer

¹⁴See details in [Lafortune and Low \(2017\)](#) and in the appendix.

¹⁵See the appendix, Section A.2 for details on model specification and other parameter values.

¹⁶Couples in the *Separacion de Bienes* regime would be ones where β 's and δ 's are determined by ownership of assets, thus the reform would not affect them.

redistribution). This exercise shows that legalizing divorce can increase the value of marriage by alleviating the limited commitment problem which in turn creates incentives for greater marital investments; However, predictions are ambiguous regarding heterogeneous effects by female’s education: if more educated females are those with higher potential earnings but also are those who form marriages with higher level of assets, the model shows that in isolation, those two variables (earnings and assets) have different effects on marital investments and marriage values.

Table 3: Simulation results

	High redistrib. ($\delta = 0.5$)	Low redistrib. ($\delta = 0.9$)	% diff.
Value of marriage	2.27	2.19	3.43
Savings	0.63	0.56	13.49
Investment (F)	0.14	0.09	49.16
Investment (M)	0.10	0.07	39.10
Consumption in divorce (F)	1.54	1.04	47.83
Consumption in divorce (M)	1.54	1.94	-20.71
Consumption in marriage	1.54	1.49	3.22

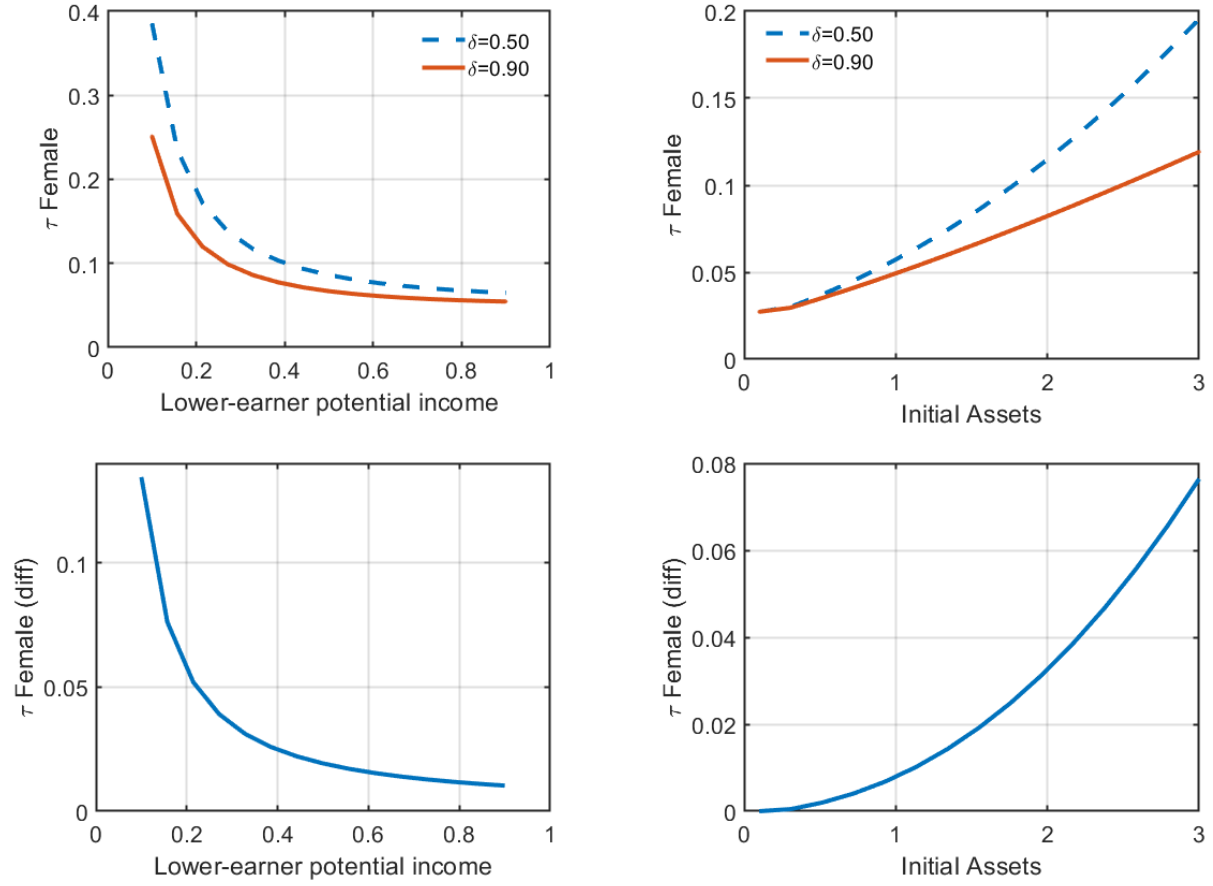
Notes: Simulation results from the model. High redistrib. refers to the case when marriage assets are distributed equally between spouses in the case of divorce. Low redistrib. refers to the case when the husband keeps 90% of savings after divorce. See main text and appendix A.2 for details.

In Table 3 we present summary statistics for a range of simulations of the model where we consider a grid of female potential incomes (with male income fixed at a mid point) and a grid of initial assets. For each variable in the table, we take averages across all simulations.

The main takeaway is that the value of marriage (joint utility of spouses in period one) is higher when redistribution is high ($\delta = 0.5$). This is also the case for savings and marital investments of both spouses, although on average, female investment is relatively higher in the higher redistribution case. Note also that consumption is equalized among members of the couple when $\delta = 0.5$. This is the main force making the value of marriage higher with equal treatment of assets post-divorce: the value of being in a couple depends on the utilities of both spouses, so concave utility makes differences in expected period two consumption (e.g., after a divorce) undesirable.

In terms of the heterogeneity in the response to a change in δ , Figure 6 shows how marital investments of women differ by income potential (left) and with initial assets (right). In the left panel, we see that couples with lower earning females react more strongly to the policy (the figure keeps male income and initial assets at an average level); in the right panel, we see that in couples with higher assets female investment in the public good increases (the simulations here keep both

Figure 6: Marital Investment for Heterogeneous Incomes and Initial Assets



Notes: The left-hand figures show marital investments by income and the right-hand figures by initial assets. The bottom two panels show the difference in female's marital investment between the high ($\delta = 0.5$) and the low ($\delta = 0.9$) redistribution cases. See Section A.2 for details on model parameters.

male and female potential income at average levels). The main takeaway from this section is the fact that the effects of the simulated reform are strongest for households with higher level of assets.

6 Causal Evidence of the Impact of Divorce Legalization on Marital Investment

6.1 Hypothesis and Empirical Strategy

The theoretical framework outlined in Section 5 shows how divorce legalization can encourage marital specialization and increase marital surplus by better protecting the lower earners against the risk of marital breakdown. Before the 2004 divorce law, women in community property marriages could not obtain an equal division of marital property unless they sought a judicial separation on serious fault grounds. These separations were extremely rare in practice (see Section 2). Since 2004, women have had the option to unilaterally file for divorce and obtain an equal division of assets. Separate property marriages are not affected by this change and therefore constitute a natural control group to test whether a more equal asset division upon marital breakdown encourages marital specialization, controlling for other changes introduced by the law, such as the option to remarry.

We use data from the EPS survey, a longitudinal household survey collected since 2004 with retrospective relationship histories and information on marital property regimes.¹⁷ Our main sample includes women who were 20–29 years old and married in 2000; therefore, the reform impacted them at an age at which they were making fertility and career investment decisions. The panel dimension of the survey is crucial for identification, as explained below.

The survey is linked to the respondents' lifetime administrative pension contribution records, from which high-quality monthly formal employment status and earnings information can be observed. These two variables are our measures of marital specialization for this empirical exercise (higher female employment rates and earnings proxy lower marital specialization). A caveat to this choice of outcomes is that we cannot ascertain whether changes in formal employment reflect substitution with home production or child-rearing versus simple changes in leisure time or even formal versus informal employment substitution. Ideally, we would like to run our analysis on measures of time spent in home production or fertility, but the former is not recorded in the survey. While births are observed in the survey, they are rare events, which severely limits the power

¹⁷The survey and sample restrictions are described in more detail in Section 3.

of our estimator given the available sample size.¹⁸ Therefore, our interpretation of employment reductions as evidence of marital specialization relies on the fact that the timing and schooling heterogeneity of the impacts we estimate on employment coincide closely with the macro trends in fertility documented at the population level immediately after the reform passed (see Section 4).

We estimate treatment effects using Callaway and Sant’Anna’s (2021) DiD framework in the single adoption date case (i.e., all treated units become treated in November 2004, denoted as t_0). We define treatment status as $D_{it} = 1\{i \in \mathcal{CP}\} \cdot 1\{t \geq t_0\}$, where $\mathcal{CP}$ is the set of women married under the community property regime, and estimate $\widehat{ATT}(t)$ for each post-period $t \geq t_0$ until December 2015, using women in separate asset marriages as the comparison group. The standard errors are two-way clustered at the individual and period levels to account for serial correlation from repeated observations. We implemented the estimator in Stata using the `csdid` package and confirmed the results by implementing OLS (after partialing out fixed effects using the `reghdfe` package) on the following model:

$$Y_{it} = \alpha_i + \gamma_t + \sum_{k=-3}^{K=12} \beta_k CP_i \cdot \mathbf{1}\{t = t_0 + k\} + \varepsilon_{it} \quad (4)$$

where Y_{it} is the outcome measured on woman i in period t ; CP_i equals one if woman i is married under CP; α_i are individual fixed effects and γ_t are period fixed effects; t_0 denotes the last pre-reform period October 2004, so each β_k measures the impact of CP status in the k -th month prior or after the introduction of divorce in November 2004; and ε_{it} is an error term. The coefficients β_k therefore trace the reform’s dynamic effects on women’s labor supply, controlling for both time-invariant individual and regime-specific differences (ϕ_{CP}) and common time shocks (γ_t). In the main text, we present the results obtained using annualized data. We also run the model on quarterly employment data with similar results (see Appendix Figure A.1).

6.2 Threats to Identification

In addition to standard questions regarding the comparability of the treatment and control groups, which we discuss below, several identification threats need to be addressed in our context. First,

¹⁸Likewise, our exercise is underpowered to detect impacts of the reform on other outcomes of interest such as separation or divorce decisions.

the introduction of the divorce law affected marital decisions, including the choice of property regime. Consequently, the composition of the treatment and control groups may have changed in a way that could bias the before-and-after comparison within the groups. To address this issue, we leverage the panel dimension of the survey to extract a sample of women already married before the statutory reform under CP and SP rules. The sample comprises women who were already married in January 2000 and aged 20-29 years on that date.

Second, women in the treatment and control groups could exit marriage at different rates, modifying the relative composition of the two groups. Our main specification follows all women in the sample, regardless of whether they separated or divorced during the period. Therefore, the treatment effects capture both the direct effects of the reform on married women’s specialization and the indirect effect mediated by the impacts of the reform on marital decisions. However, we also estimated an alternative specification only for women currently married in each period and found similar results, which suggests that indirect impacts play a minor role.

Differential attrition from the survey could also be an issue, particularly because marital transitions can be correlated with panel retention rates. To avoid this problem, we extracted our sample from the 2015 survey round at the end of the analysis period. The 2015 sample was refreshed to be representative of the Chilean population, and retrospective information on marital status and marital regime in 2000 was collected from individuals not interviewed in earlier rounds. In addition, our main outcomes (formal employment and taxable earnings) are pulled from an administrative dataset that does not suffer from recall bias.

6.3 Comparability between Treatment and Control Groups

Couples did not select randomly into marital property regimes, which could threaten the assumption of parallel counterfactual trends. Table 4 compares the women in the treatment and control groups. In 2004, women married under the separate property regime and their husbands had significantly more schooling and owned more household assets. We do not detect significant differences in labor supply, earnings, number of children or the propensity to attend church. To improve the comparability of the two groups and because of the schooling heterogeneity in the population trends described in Section 4, we stratified our samples by schooling level, differentiating between women with at most a high school diploma and those with at least some college. Some differences persist but become smaller, particularly in the college-educated sample. Indeed, we find that all

outcome and subgroup regression combinations pass a parallel pre-trend test for the quarterly data specification and all but one (employment rate for the low schooling group) when using annualized data.

To further support the suitability of the comparison, we formed a placebo group of women aged 30-39 in 2000. By the time the reform was implemented, women in that group had already largely chosen the extent to which they would specialize in homemaking versus market work. We estimate our model on this group and show that women married under the two regimes follow parallel paths before and after the law. Note also that by including individual fixed effects, we control for compositional differences in permanent characteristics between treatment groups, such as women's employment status in the initial period. Therefore, individual fixed effects take care of regression-to-the-mean concerns, where employment rates in the groups with higher initial labor supply would tend to mechanically decline over time, and vice versa.

Table 4: Pre-Law Descriptive Statistics (2004): Ages 20–29 Sample

Variable	Total			Low schooling			High schooling		
	CP	SP	Diff	CP	SP	Diff	CP	SP	Diff
Observations: Individuals	327	62	-	251	25	-	76	37	-
Age (mean)	30.0	30.0	-0.0	30.1	29.3	0.8	29.6	30.5	-1.0**
Own education: college (%)	23.2	59.7	-36.4***	-	-	-	-	-	-
Partner education: college (%)	30.7	62.2	-31.5***	22.8	40.0	-17.2	55.7	77.3	-21.5*
Formally employed (AD) (%)	28.7	35.5	-6.7	25.1	20.0	5.1	40.8	45.9	-5.2
Employed (EPS) (%)	40.9	46.8	-5.9	37.3	28.0	9.3	52.6	59.5	-6.8
Taxable earnings in th. (AD; median)	158.0	253.0	-95	145.0	175.0	-30	204.0	278.5	-75
Weekly hours worked (EPS; mean)	44.0	44.0	-0.0	44.7	45.0	-0.3	42.4	43.7	-1.3
Non-positive assets (%)	20.7	26.2	-5.5	22.5	29.4	-6.9	13.7	24.0	-10.3
Positive assets < median (%)	45.0	26.2	18.8**	45.0	17.6	27.4**	45.1	32.0	13.1
Positive assets ≥ median (%)	34.3	47.6	-13.4*	32.5	52.9	-20.4*	41.2	44.0	-2.8
Number of children (mean)	1.5	1.3	0.2	1.6	1.3	0.2	1.1	1.2	-0.1
Attends church (%)	10.4	11.3	-1.0	12.2	10.0	2.2	4.3	12.1	-7.8

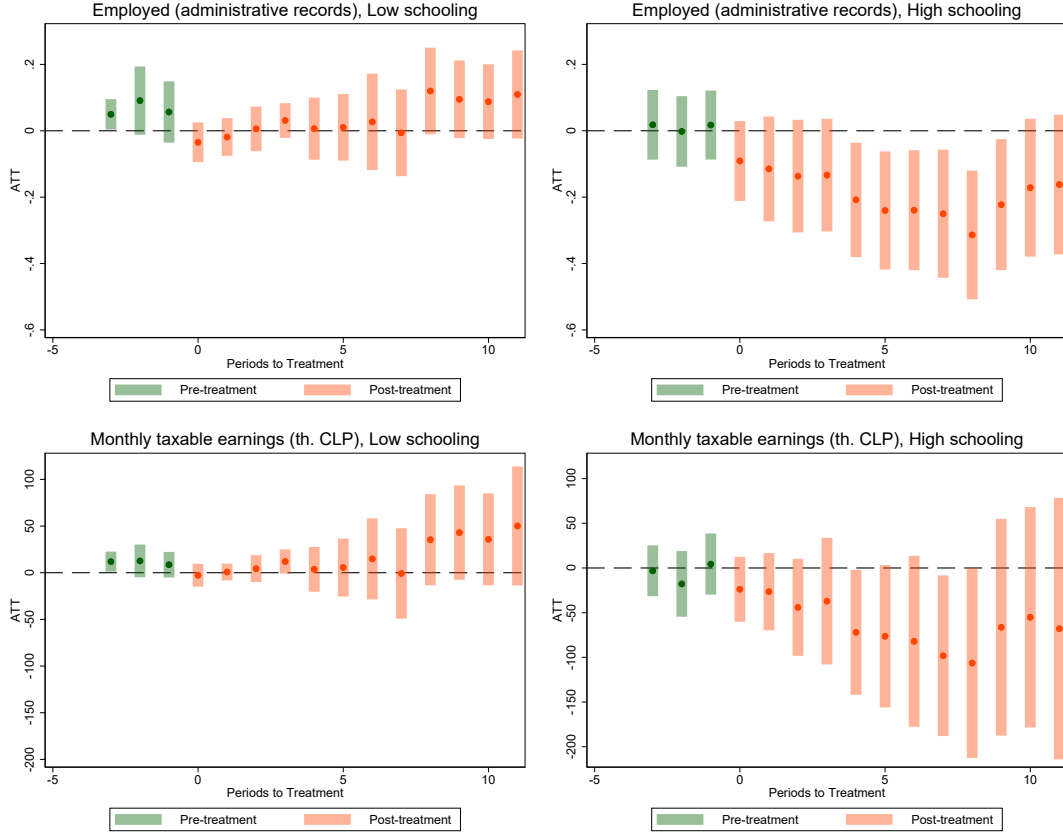
Notes: Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Data: Encuesta de Protección Social (EPS) matched to Chilean administrative pension records from the Superintendencia de Pensiones (SP). The sample consists of married women aged 20–29 years who were married in 2000.

6.4 Results

Figure 7 plots the estimated Callaway-Sant'Anna treatment effects of the introduction of marital asset division on women's employment outcomes. The two upper panels show the formal employment status, and the two lower panels show taxable earnings. Appendix Figure A.1 replicates these results after aggregating the data quarterly rather than annually. Figure A.2 estimates the

same model for the placebo group of older women. The treatment effects are insignificant for these groups throughout the graph, supporting the assumption of pre- and post-reform parallel paths for women married under the two regimes.

Figure 7: Impact of Introducing Asset Division upon Divorce on Female Labor Supply



Notes: The figure reports event-study estimates from the Callaway–Sant’Anna DiD estimator (`csdid`) using individual–year data constructed from the EPS person-month panel and administrative records. Outcomes were collapsed to the individual–year level using annual means. The treatment timing was set to 2004. Non-employed women are assigned zero taxable earnings. The estimates are shown separately by education group (low vs. high schooling). The standard errors were clustered at the individual level. No panel fails the `csdid` pre-trends Wald test (a joint test of parallel trends that all pre-treatment event-time effects are zero), except for employment for the low-schooling group.

After 2004, employment and earnings patterns diverged between women married under the two marital regimes, but only for college-educated women. For that group, the coefficients start becoming negative precisely after 2004, when the law was enacted but before significant numbers

of divorces were pronounced (Figure 1). This timing is consistent with the mechanism proposed in Section 5, which is dynamic and anticipatory: asset division rules impact first-period decisions through the continuation value corresponding to the second-period utility. Given the large salience of the reform and extensive media coverage, the population was well-informed of the content of the law by the time it officially passed (see the discussion of the timing and salience of the reform in Section 2). We also run a placebo specification with treatment artificially set to January 2001 and confirm that the treatment effects remained insignificant until 2003 and start declining from 2004 onwards (Appendix table A.2).

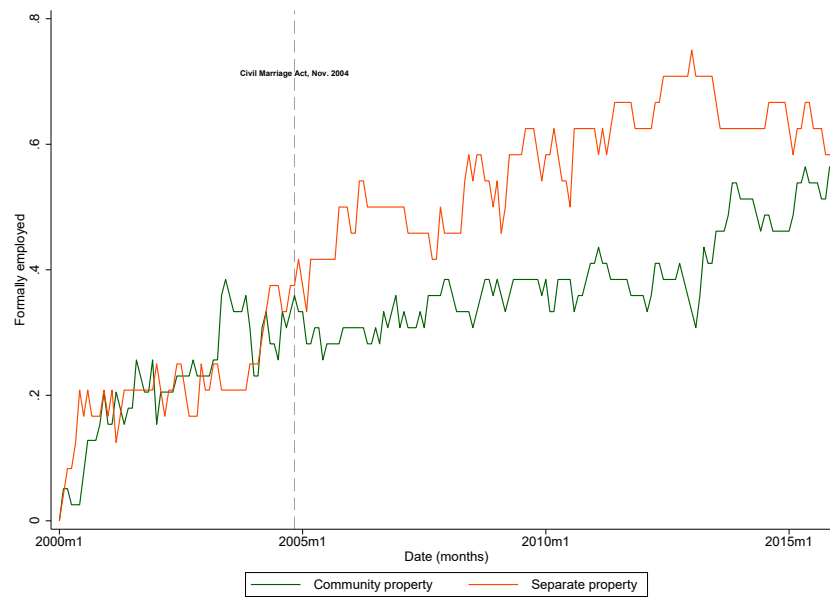
The negative coefficients indicate that the labor force participation of women in CP marriages declined relative to that of women in the SP regime. As discussed in Section 5, our proposed interpretation is that prior to the divorce law, the negative consequences of marital breakups for women with little professional experience and low attachment to the labor force discouraged marital investments and encouraged women’s labor supply. Husbands could not commit to compensating women for the employment penalties associated with having and raising children if the couple separated. The effect is large; it implies that female formal employment was reduced by 20-30 pp as a result of the asset division introduced by the Civil Marriage Act.

The size and schooling heterogeneity in our event study treatment effects is consistent with the trend breaks in fertility rates described in Section 4, which were also large and stronger for college-educated women. However, a tighter quantitative comparison is not possible for several reasons. First, the macro trends include all couples, including those married after the law, who may have different fertility preferences on average. Second, the macro trends include both SP and CP marriages, whereas the event study captures differences between the two groups.¹⁹ Instead, the event study controls for other mechanisms that could have affected both marriage regimes, such as the possibility of remarrying, and measures the impact of asset division specifically.

Figure A.3 shows the empirical model estimated separately for selected subgroups of women. Restricting the estimation to women still married in each period yields similar results for both education groups, suggesting that differential selection out of marriage between the treatment and control groups does not play a large role in explaining the differences in employment rates. Separating women who were initially employed and initially unemployed (in our first period, January

¹⁹As mentioned earlier, the birth records do not include information on marital property regimes.

Figure 8: Formal Employment Rate by Marital Regime, Young, College-educated and Initially OLF Subsample



Notes: The sample is restricted to college-educated women who were 20-29 years-old, married, and not employed in 2000. The data source is the EPS.

2000) shows that the latter group drives our main result: the law reduced the rate at which CP women entered or reentered the labor force, rather than pulling women out of it.

Figure 8 shows the formal employment data series for the treatment and control units for the subgroup of young, college-educated, and initially unemployed women. The treatment and control groups' employment rates track each other very closely until the exact month in which the Civil Marriage Act took effect, at which point the labor supply of women married under the CP regime stagnates relative to those in the SP regime.

6.5 Separating the Role of Assets vs. Earning Potential

The theoretical framework presented in Section 5 explores two mechanisms to understand the different responses of women with high vs. low schooling. This shows that women with higher earning potential experience a lower (negative) impact of the reform on specialization, *ceteris paribus*. On the other hand, the model predicts a stronger impact for women living in households with more assets. In the data, women with higher education have higher potential earnings but also live in households with more assets (Table 4), so the two mechanisms are at play.

To disentangle the two channels, we perform a treatment heterogeneity analysis by separating couples who had accumulated different levels of assets at the time of the reform. Households in the estimation sample are assigned to one of three household asset levels: negative or 0, below median, and above median, where the median is computed for the whole sample of households with positive assets in the 2004 EPS round. The asset categories are then interacted with the two schooling groups used in the main analysis, yielding six subgroups. We are underpowered to obtain dynamic treatment effects for each subgroup, but we can pool the pre- and post-periods together in a simple static DiD model with treatment heterogeneity. For K mutually exclusive groups $g = 1, \dots, K$, with $G_i \in \{1, \dots, K\}$ indicating the group to which women i belongs, the treatment heterogeneity model is defined as follows:

$$Y_{it} = \alpha_i + \gamma_t + \sum_{g=2}^K \delta_g^{post} Post_t \cdot 1\{G_i = g\} + \sum_{g=1}^K \delta_g^{did} CP_i \cdot Post_t \cdot 1\{G_i = g\} + \varepsilon_{it}$$

We include individual and monthly fixed effects and cluster standard errors at the individual-level.

The treatment effects δ_g^{did} for each subgroup are reported in Table 5. As in the dynamic model, the negative labor supply impact of divorce legalization is restricted to college-educated women. However, as predicted by the model, this effect is driven by households that had accumulated assets at the time of the reform. The coefficient of the above-median group is smaller and insignificant compared to that of the below-median group. However, with three coarse asset categories and a limited sample size, the data are not informative enough to rank the effects within the positive-asset range. These negative coefficients contrast with the positive and insignificant impact found for college-educated women in households with no assets. This evidence further reinforces the hypothesis that the law’s asset division provision altered women’s marital investment decisions.

Note that the static DiD yields a positive and significant impact of the law for low-schooling women in households with low to negative levels of assets and for some subgroups in the older women’s sample (see Appendix Table A.3). The dynamic model finds a clear null effect for these groups in the years following the reform, but an increase in the relative labor supply of CP women can be observed in the last few years of the data for several groups. We cannot affirm a link between these effects and the reform because they occur more than eight years after it was enacted. However, such a pattern could be rationalized under the plausible assumption that the law increased the overall probability of eventual marital breakdown. Women with CP in deteriorating relationships would eventually find it optimal to revert to their marital specialization decisions. This mechanism is often invoked in the literature, for example, in [Bargain et al. \(2012\)](#).

Table 5: DiD Heterogeneity by Education and Asset Level: Ages 20–29 Sample

Assel levels:	Low schooling			High schooling		
	Negative	Below p50	Above p50	Negative	Below p50	Above p50
Coef.	0.293**	0.101***	0.176**	0.065	-0.327***	-0.078
S.E.	(0.135)	(0.034)	(0.089)	(0.207)	(0.103)	(0.108)
Obs.: Individuals	293					
Obs.: Total	56256					

Notes: This table reports the estimates of δ_g^{did} from Equation (6.5). Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Data: Encuesta de Protección Social (EPS) matched to Chilean administrative pension records from the Superintendencia de Pensiones (SP). The sample consists of married women aged 20–39 who were already married in 2000.

7 Conclusion

Declining fertility and marriage rates worldwide have been the subject of intense debate in recent years. Many explanations have been proposed, from the high costs of living and stagnating middle-class wages, which limit the ability of men to provide for single-income households, to changes in women's aspirations and gender norms. Our results emphasize a key determinant of fertility and marriage patterns: the riskiness of marital investment from the perspective of the spouse specializing in home production. While divorce, as an institution, has been studied as a policy instrument that makes marital breakups more or less costly, its function as an insurance provision for homemakers has received much less attention, with some notable exceptions discussed in this paper, which are:

While most countries allow for an equitable asset division upon marriage, understanding the broader lifetime penalties faced by women with children after a marriage breakup could help rationalize the current fertility decline observed worldwide, particularly as marital unions become less stable and rising female schooling and earnings potential make women less dependent on marriage for their economic wellbeing. For example, it is widely documented that alimony rights are often poorly enforced, despite the fact that parental responsibilities after divorce fall heavily on women. This suggests that the economic risk of divorce remains an important disincentive for fertility, even in countries that legalized divorce decades earlier.

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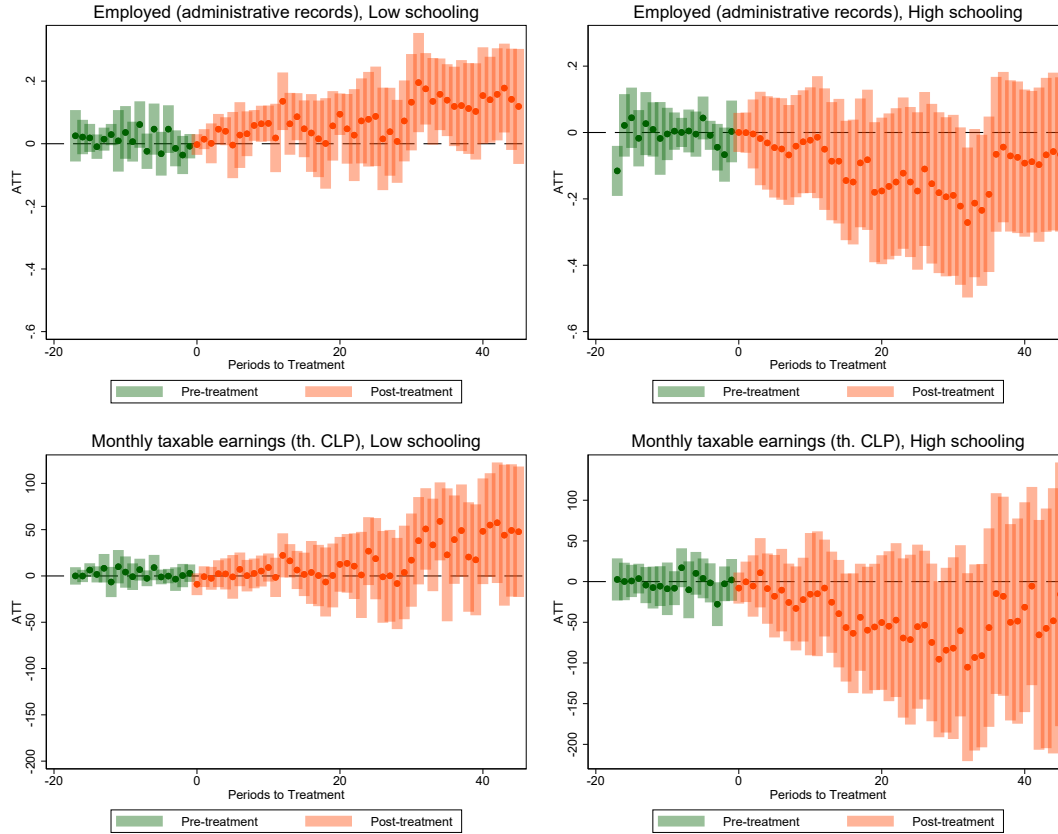
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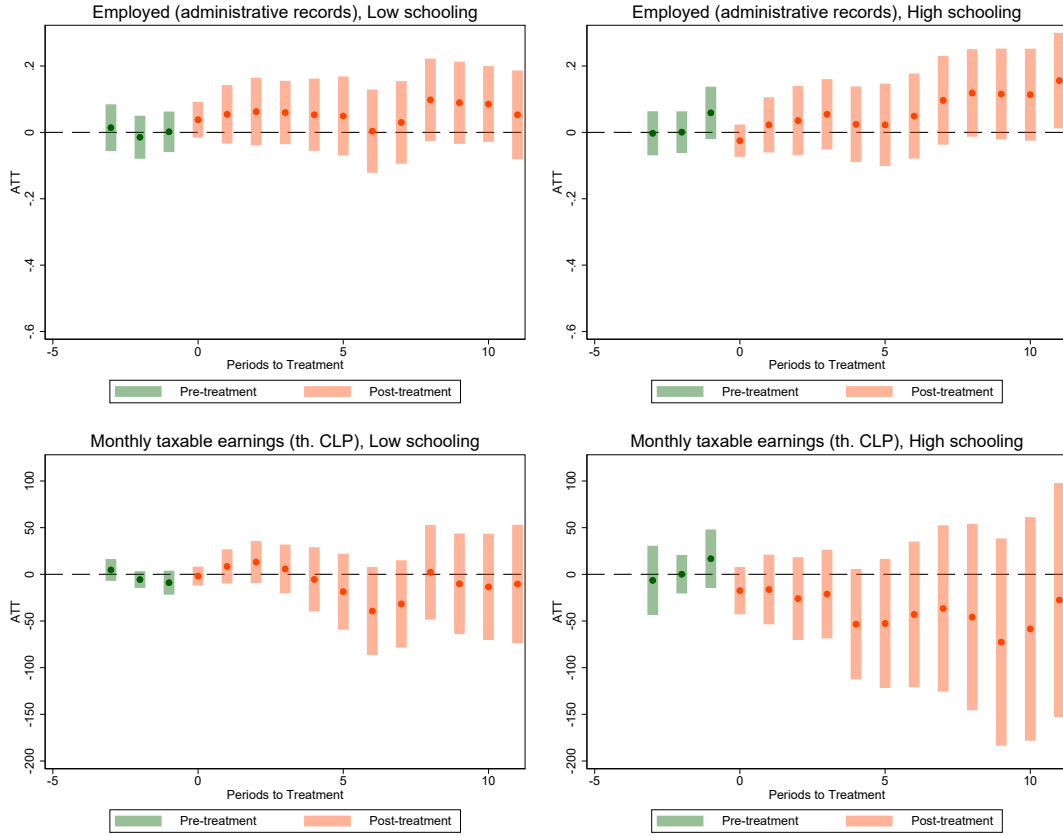
A.1 Appendix Tables and Figures

Figure A.1: Impact of Introducing Asset Division upon Divorce on Female Labor Supply (quarterly)



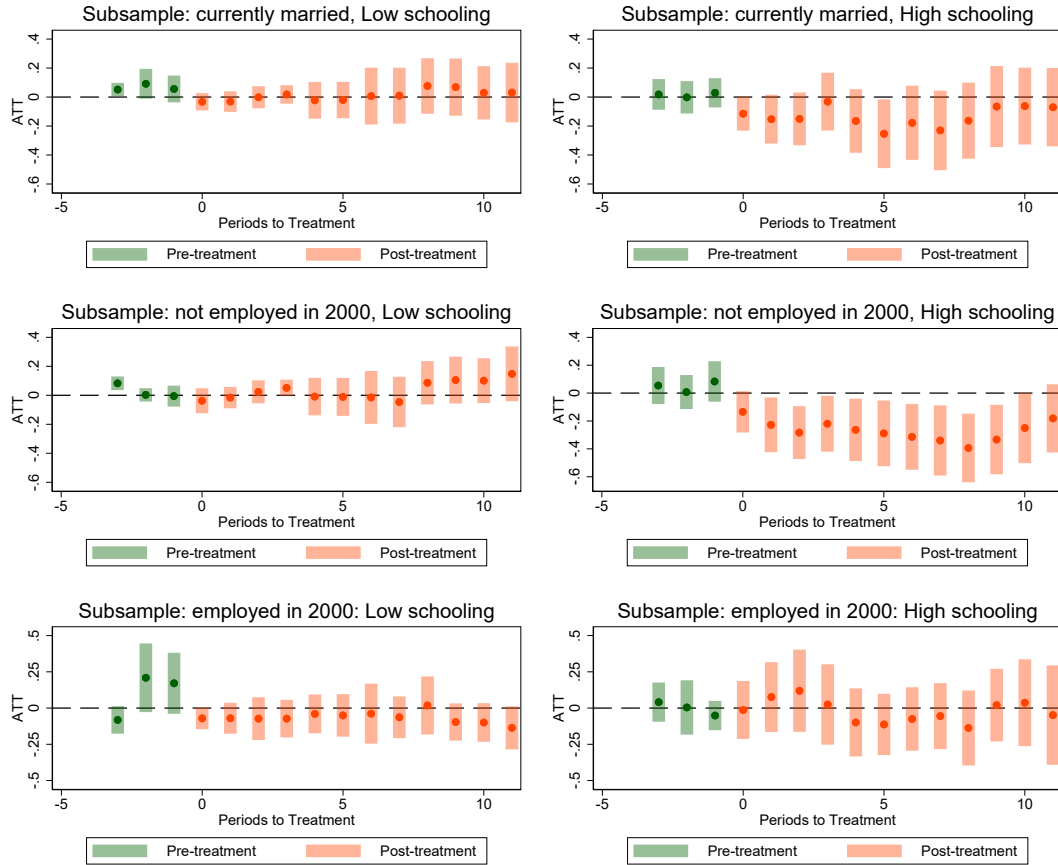
Notes: The figure reports event-study estimates from the Callaway–Sant’Anna DiD estimator (`csdid`) using individual-quarter data constructed from the EPS person-month panel and administrative records. Outcomes are collapsed to the individual-quarter level using quarterly means. Treatment timing is set to 2004Q4. Non-employed women are assigned zero taxable earnings. Estimates are shown separately by education group (low vs. high schooling). Standard errors are clustered at the individual level. No panel fails the `csdid` pre-trends Wald test.

Figure A.2: Baseline Model: Older Women Sample (Ages 30–39)



Notes: The figure reports event-study estimates from the Callaway–Sant’Anna DiD estimator (csdid) using individual–year data constructed from the EPS person-month panel and administrative records. Outcomes are collapsed to the individual–year level using annual means. Treatment timing is set to 2004. Non-employed women are assigned zero taxable earnings. Estimates are shown separately by education group (low vs. high schooling). Standard errors are clustered at the individual level. No panel fails the csdid pre-trends Wald test.

Figure A.3: Baseline Model by Subgroup



Notes: The figure reports event-study estimates from the Callaway–Sant’Anna DiD estimator (csdid) using individual-year data constructed from the EPS person-month panel and administrative records. Outcomes are collapsed to the individual-year level using annual means. Treatment timing is set to 2004. Estimates are shown separately by education group (low vs. high schooling). Standard errors are clustered at the individual level. All low-schooling subgroups fail the csdid pre-trends Wald test, whereas none of the high-schooling subgroups do.

Table A.1: Pre-Law Descriptive Statistics (2004): Ages 30–39 Sample

Variable	Total			Low schooling			High schooling		
	CP	SP	Diff	CP	SP	Diff	CP	SP	Diff
Observations: Individuals	661	114	-	524	51	-	137	63	-
Age (mean)	38.8	38.4	0.4	38.9	38.3	0.5	38.6	38.5	0.2
Own education: college (%)	20.7	55.3	-34.5***	-	-	-	-	-	-
Partner education: college (%)	21.7	71.6	-49.9***	14.9	50.0	-35.1***	46.7	83.7	-37.0***
Formally employed (AD) (%)	27.5	50.9	-23.3***	21.6	29.4	-7.8	50.4	68.3	-17.9**
Employed (EPS) (%)	44.8	69.3	-24.4***	41.5	60.8	-19.3***	57.7	76.2	-18.5**
Taxable earnings in th. (AD; median)	163.0	276.5	-114***	145.0	222.0	-77***	225.0	363.0	-138**
Weekly hours worked (EPS; mean)	43.5	42.4	1.1	44.1	42.0	2.0	42.0	42.6	-0.6
Non-positive assets (%)	15.5	16.3	-0.8	15.9	17.9	-2.0	13.7	14.9	-1.2
Positive assets < median (%)	42.7	27.9	14.8***	46.4	25.6	20.7**	27.5	29.8	-2.3
Positive assets ≥ median (%)	41.8	55.8	-14.0**	37.7	56.4	-18.7**	58.8	55.3	3.5
Number of children (mean)	2.4	1.3	1.2***	2.6	1.6	1.0*	1.7	1.1	0.5*
Attends church (%)	14.3	13.3	1.0	14.3	18.6	-4.3	14.2	9.1	5.1

Notes: Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Data: Encuesta de Protección Social (EPS) matched to Chilean administrative pension records from the Superintendencia de Pensiones (SP). The sample consists of married women aged 30–39 years who were married in 2000.

Table A.2: Event-study robustness: placebo treatment year set to 2001

	Formal employment	Taxable earnings
2001	0.0180	-3.196
2002	0.0160	-20.98
2003	0.0333	-16.60
2004	-0.0576	-40.44
2005	-0.0816	-43.13
2006	-0.1030	-60.65
2007	-0.1000	-53.78
2008	-0.175*	-88.65**
2009	-0.207**	-92.98**
2010	-0.206**	-98.69*
2011	-0.217**	-114.8**
2012	-0.281***	-123.0**
2013	-0.189*	-82.92
2014	-0.1380	-71.73
2015	-0.1290	-84.54

Notes: Entries report event-study estimates from the Callaway-Sant’Anna DiD estimator (csdid). The placebo treatment year (policy in force) is set to 2001, and estimates are normalized relative to 2000 (the year before treatment). Column (1) reports formal employment and column (2) reports taxable earnings. Data: Encuesta de Protección Social (EPS) matched to Chilean administrative pension records from the Superintendencia de Pensiones (SP). Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table A.3: DiD Heterogeneity by Education and Asset Level: Ages 30–39 Sample

Asset levels:	Low schooling			High schooling		
	Negative	Below p50	Above p50	Negative	Below p50	Above p50
Coef.	0.016	-0.019	0.157*	0.095	0.155*	0.021
S.E.	(0.087)	(0.109)	(0.095)	(0.173)	(0.087)	(0.058)
Obs.: Individuals	615					
Obs.: Total	118080					

Notes: This table reports the estimates of δ_g^{did} from Equation (6.5). Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Data: Encuesta de Protección Social (EPS) matched to Chilean administrative pension records from the Superintendencia de Pensiones (SP). The sample consists of married women aged 20–39 who were already married in 2000.

A.2 Model Details

We focus in the imperfect-commitment case of [Lafortune and Low \(2023\)](#). We model the introduction of the divorce law as a change in the parameters that determine consumption sharing in a separation/divorce.

The couple chooses jointly savings, marital investment of the husband and marital investments of the wife, $x = \{s, \tau_i, \tau_j\}$, taking into account that in the second period, the marriage can continue, it can be dissolved or the couple can renegotiate consumption allocations. If the couple divorces, resources are split according to exogenous parameters β and δ .

In period 1 resources are pooled and split equally:

$$c_{1i}(s, A) = c_{1j}(s, A) = \frac{1}{2} (\Omega_i + \Omega_j + A - s)$$

Period 2 consumption if married and no renegotiation:

$$c_{2i}^m(x) = c_{2j}^m(x) = \frac{1}{2} (\lambda \Omega_i (1 - \tau_i) + \lambda \Omega_j (1 - \tau_j) + (1 + r)s)$$

Period 2 consumption if divorced:

$$c_{2i}^d(x) = \beta \lambda \Omega_i (1 - \tau_i) + (1 - \beta) \lambda \Omega_j (1 - \tau_j) + \delta (1 + r)s$$

$$c_{2j}^d(x) = \beta \lambda \Omega_j (1 - \tau_j) + (1 - \beta) \lambda \Omega_i (1 - \tau_i) + (1 - \delta)(1 + r)s$$

Given consumption values above, one can define

$$\bar{\phi}(x) \equiv u(c_{2j}^d(x)) - u(c_{2j}^r(x))$$

$$p_u(x) = \Pr(\phi \leq \bar{\phi}(x))$$

where p_u is the probability that the couple renegotiates their consumption levels. [Lafortune and Low \(2023\)](#) prove that the divorce probability is $p_\ell \equiv \Pr(\phi \leq 0)$. Thus, p_ℓ and p_u implicitly define a range for the match quality to precipitate renegotiation of consumption bundles. Under renegotiation, partner i (the higher earner) is made indifferent, with the lower earner obtaining

consumption according to

$$u(c_{2j}^r(x)) \equiv u(c_{2j}^d(x)) - \phi \implies c_{2j}^r(x) = u^{-1}\left(u(c_{2j}^d(x)) - \phi\right)$$

Expected joint utility in period 2 Given the consumption levels in each scenario, we can compute the expected joint utility for the couple:

$$\begin{aligned} E[u_2(x)] = & \underbrace{2[1 - p_u(x)]u(c_2^m(x))}_{\text{married}} + \underbrace{p_\ell \left[u(c_{2i}^d(x)) + u(c_{2j}^d(x)) \right]}_{\text{divorce}} \\ & + \underbrace{\int_0^{\bar{\phi}(x)} \left[u(c_{2i}^r(x)) + u(c_{2j}^r(x)) \right] f_\Phi(\phi) d\phi}_{\text{renegotiation}} \end{aligned}$$

The lifetime objective for a couple in the first period is:

$$U \equiv 2u(c_{1i}(s, A)) + E[u_2(x)] + 2 \cdot 2 Q(\tau_i, \tau_j)$$

where the first term on the right hand side acknowledges that consumption in the first period is equal across spouses, while the last shows that both members enjoy the public good equally and in both periods.

Optimization problem:

$$\max_{s, \tau_i, \tau_j} U \quad \text{s.t.} \quad 0 \leq s \leq \Omega_i + \Omega_j + A, \quad 0 \leq \tau_i, \tau_j \leq 1$$

Quantitative Exercise. We solve and simulate the model quantitatively, following closely the exercise in [Lafortune and Low \(2023\)](#). We assume the utility from consumption to be CRRA,

$$u(c) = \frac{c^{1-\rho}}{1-\rho}$$

The public good production function is assumed to be symmetrical in spouses inputs:

$$Q(\tau_i, \tau_j) = \gamma_0(\tau_i^{\gamma_1} \tau_j^{\gamma_1})$$

Finally, the match quality shock is assumed to be distributed normal, with mean zero and standard deviation σ_ϕ .

The discount factor (which determines the interest rate) is set at $1/0.98 - 1$, the alimony parameter is β and the growth of potential income is λ . Parameters values are in the table below

r	ρ	γ_0	γ_1	σ_ϕ	λ	β
0.02	1.5	0.15	0.2	2	2.0	0.5

Given these, we solve the model for a grid of values of female potential income $\Omega_j \in [0.1, 0.9]$ and a grid of initial assets $A \in [0.1, 3]$, while leaving the potential income of the husband at an intermediate value of $\Omega_i = 0.5$.